

Great(ish) expectations

I have long rented in happening suburbs that hardly have streets of broken glass. The parade of bars and boutiques close to home was partly responsible for my financial downfall before I got my act together.

Where you want to buy, and where you can afford to buy. Let's call a spade a spade, and a brick – in a far-flung suburb – a brick; there is little relationship between the two. But there is hope. If you've been renting in a suburb on the cusp of a capital city but seem priced out of the market to buy, there are ways, albeit compromised, to make your way in.

There are two approaches the first home buyer can take; one treats housing as a commodity that will generate riches, while the other provides the simple comfort of a roof over your head. As I've said, unlike baby boomers, most of Gen Y won't be investing in property for wealth creation; instead, you'll be looking for the latter option, to score happy and secure housing after making big sacrifices.

Property in Australia has long been treated as a money-making scheme, and in that, we are unique compared to the rest of the world. For Australians, property that makes capital gains has long been perceived as a right, but in plenty of other countries, housing yourself and your family is a simple endgame. For us, a Monopoly-like approach to the buying and selling of real estate has in part fuelled astronomical price hikes.

Urban geographer Dr Kate Shaw, from the University of Melbourne, says housing in Australia is seen as a tradeable commodity, an alternative to the stock market:

Speculative property investment – this is a national pastime ... in which more than one in seven taxpayers in Australia are negatively gearing their investment properties and receiving concessions on capital gains tax. This is creating extraordinary churn. We are buying, selling, demolishing, rebuilding, selling, buying more than ever before, and this is pushing up prices.